

Cost Savings

The cost of consumption is the price paid for utilizing the value created by the product. The cost can be in terms of money as well as time.



Some products do not particularly focus on enhancing the gains created or the pains relieved, but they focus on reducing the cost of consumption.

By saving costs, they pitch themselves to be of higher value than their substitutes or similar products. In the process of reducing cost, the product may let go of some gain creators—the ones that are low on priority for the customers and make a cheap alternative available.



For instance, budget airline companies across the globe have cut out frills like food and provided cheaper fares. Cost savings are not about financial savings alone. They could also be in the form of effort savings and time savings.



Convenience products such as online bill payments and food ordering have found a huge market for themselves as they save a lot of time and effort for the customers. **All these enhance the value for the customer and act as gain creators.**